

Lecture 9: Business modelling



4th Semester HA
**Innovation,
Entrepreneurship and
Business Model (F2026)**

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Current research focus

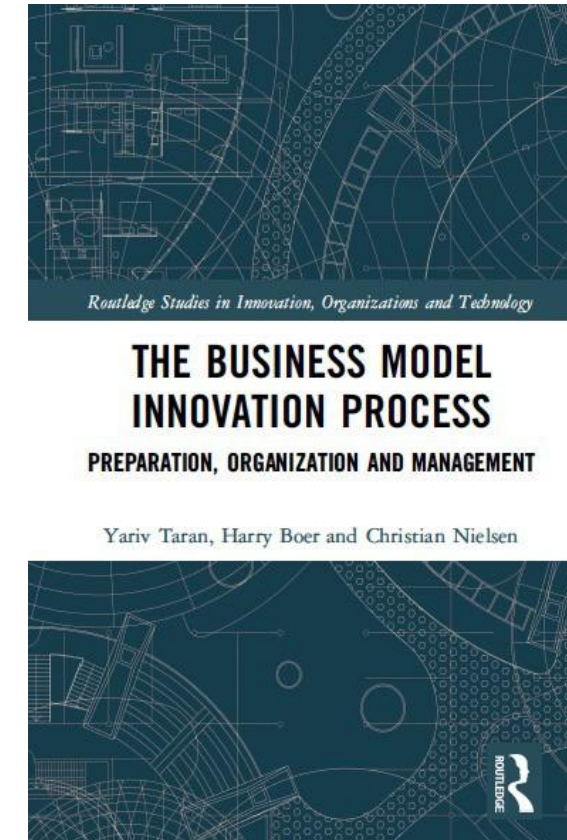
- Business model innovation process and design
- Managing risks in innovation processes
- Decision making under uncertain and complex conditions
- Business development & Change management
- Network-based innovation

Selected publications

- Sort, J.C., Taran, Y. and Turcan, R.V. (2025) De-internationalization and re-internationalization of the firm: Business model innovation for growth and survival, Springer Nature.
- Turcan, R.V., Reilly, J.E., Jørgensen, K.M., Taran, Y., Bujac, A.I. (2023) The Emerald handbook of authentic leadership, Emerald Publishing Limited.
- Taran, Y., Boer, H. and Nielsen, C. (2022) *The business model innovation process: Preparation, organization and management*, Routledge.
- Chaudhuri, A., Boer, H. and Taran, Y. (2018) Supply chain integration, risk management and manufacturing flexibility, *International Journal of Operations & Production Management*, Vol. 38, No. 3, pp.690-712.
- Taran, Y., Boer, H. and Lindgren, P. (2015) A business model innovation typology, *Decision Sciences*, Vol. 46, No. 2, pp. 301-31.

Teaching and administration

- Entrepreneurial Business Engineering (EBE) - coordinator
- Scientific co-leader and steering committee member of the "Green Societies" signature
- Steering committee member guiding Aalborg University's strategic engagement with the EU Green Transition planned initiatives (2025–27).
- Member of the 'Energy Mission Management' team - research and innovation strategy at AAU, focused on energy research and development missions.
- Teaching:
 - EBE - "Management of technology innovation and applied business modelling".
 - Master in Management of Technology (MMT) – "Introduktion til strategi".
 - PhD course on "Management of technology and organization".
 - Elective course - "Advanced innovation management".
 - HA4 - "Innovation, entrepreneurship and business models".



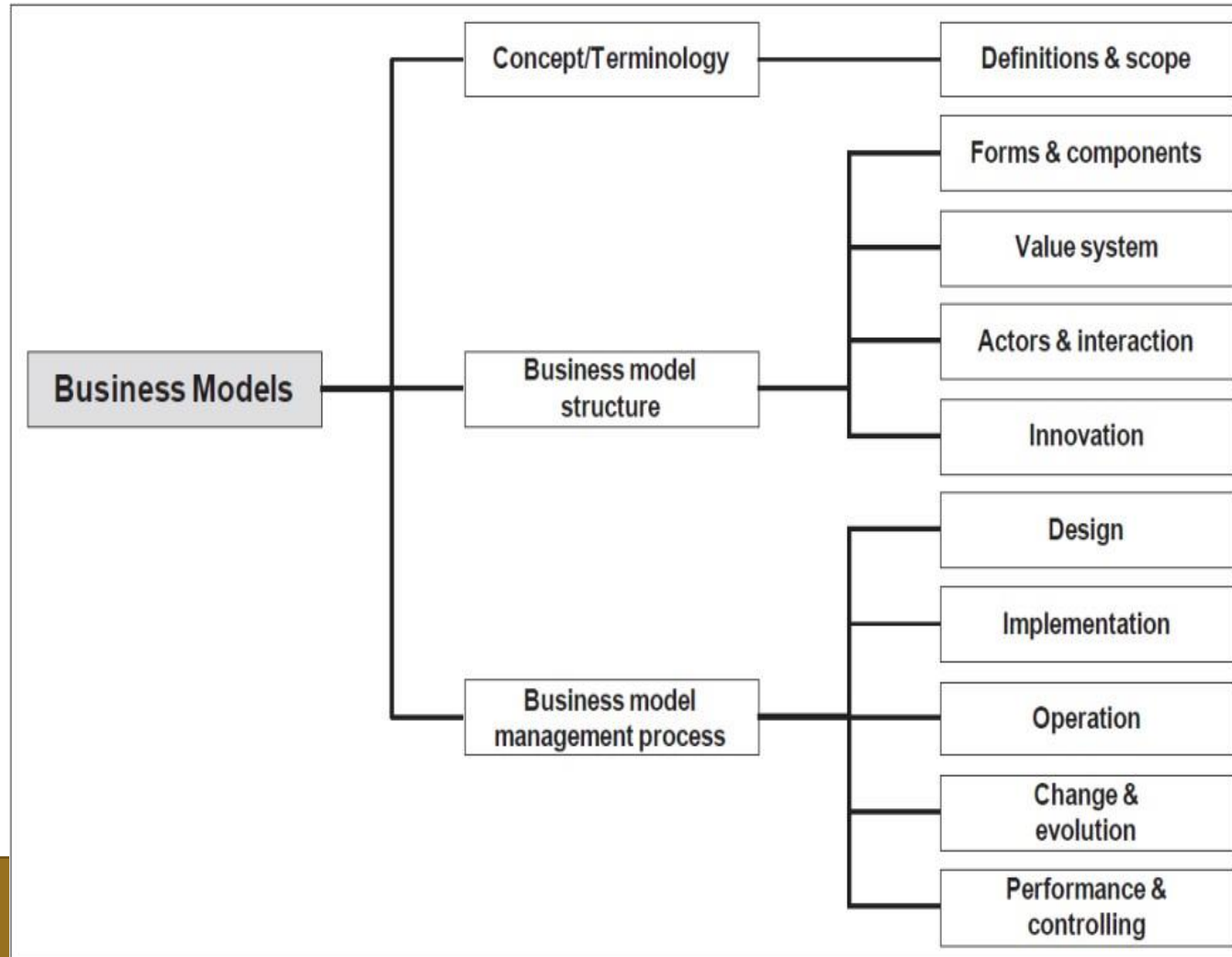
- Short Video: https://www.youtube.com/watch?v=qvIG_YcZS3g
- Link for download: [Taran et al. 2022](#)



Business models teaching and research scope overview:

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**Our BM research areas
in AAU:**



BM's– theory and practice

BM canvas/template



BM configurations/patterns

Network based BM's/ Open BM

BM innovation

- BM innovation typology
- Decision making under uncertainty
- Risk management
- Innovation scale and processes

Change management.

BM Performance
(PMM/PMS)

Figure 6. Important areas of research on business models Wirtz, et al. (2016)

Today's agenda

- Why do we talk about business models?
- How to visualize a business model?
- What is the difference between a business model and a strategy?
- What is the difference between a business model and a business plan?
- Business model innovation
- Business model innovation in practice



So, why are we talking about business model innovation?

- “The rate of change in the global business environment is unprecedented, forcing organizations to challenge many of the assumptions about how they operate. In the face of more sophisticated customers, an increasingly global economy advances, there is an **urgent need to develop flexible business models**”.
- “Leaders in every industry and in every part of the world were emerging from a period of retrenchment and cost-cutting and moving toward a vision of sustained growth... New products and services remain a priority, but **companies are placing increasing emphasis on differentiating themselves through innovation in the basics of their business models**”.



Mike Rake,
chairman of KPMG
International (2008)



Samuel J. Palmisano Chairman,
President and CEO, IBM (2008)



The CEOs Speak

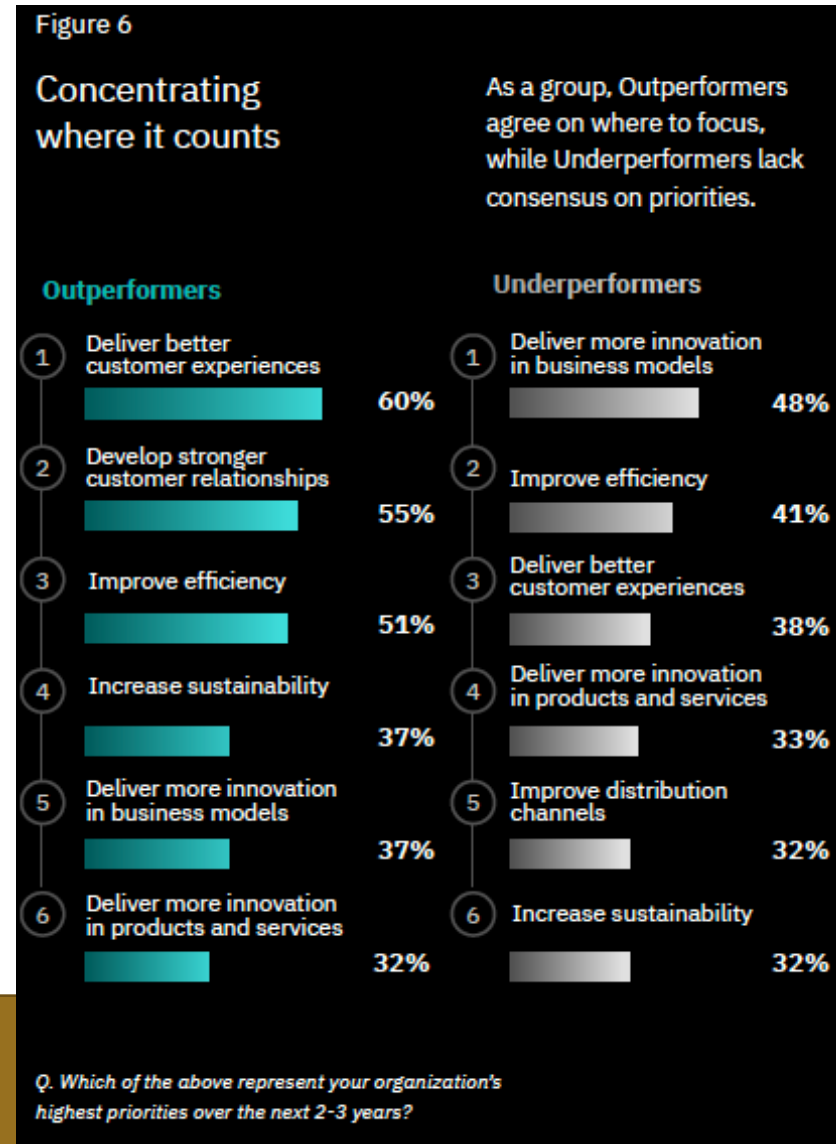
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In surveying more than 1,500 Chief Executive Officers from around the world, the IBM 2010 Global CEO Study found that chief executives believe successfully navigating an increasing complex world will require creativity.

Find your essential: How to thrive in a post-pandemic reality (IBM 2021 CEO study)

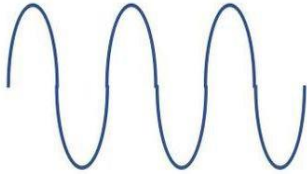
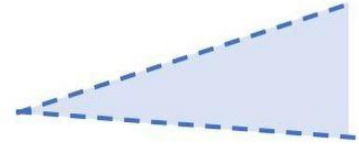
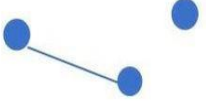
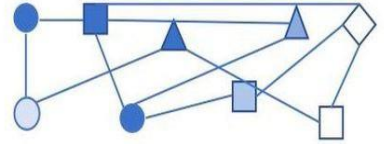
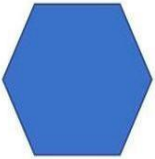
- What happened here?



It's a “VUCA” world out there..

- The concept of the VUCA world, introduced by the US military in the early 1990s at the end of the cold war, and adopted later on by the business world, suggests that **future trajectories do not indicate a world or business environment that is stable, certain, simple, and concrete**. If anything, probably quite the opposite, namely a world that is *Volatile, Uncertain, Complex, and Ambiguous*, or in short, VUCA.
- ..need to **learn to adapt to, and deal with**, this VUCA environment. But **what are the implications of these** for managers, employees, and innovation portfolio management?



Low Volatility	High Volatility
	
Low Uncertainty	High Uncertainty
	
Low Complexity	High Complexity
	
Low Ambiguity	High Ambiguity
	

In oppose to "Stable". **"Volatility"** refers to the **speed of change** in an **industry, market or the world** in general. It is associated with **fluctuations in demand, turbulence and short time to markets** and it is well-documented in the literature on industry dynamism. **The more volatile the world is, the more and faster things change**".

In oppose to "Predictable". **"Uncertainty"** refers to **the extent to which we can confidently predict the future**. Part of uncertainty is perceived and associated with **people's inability to understand what is going on**. Uncertainty, though, is also a more objective characteristic of an environment. Truly uncertain environments are those that don't allow any prediction, also not on a statistical basis. **The more uncertain the world is, the harder it is to predict**".

In oppose to "Simple/Linear". **"Complexity"** refers to **the number of factors that we need to take into account**, their variety and the relationships between them. **The more factors, the greater their variety and the more they are interconnected, the more complex an environment is**. Under high complexity, it is impossible to fully analyze the environment and come to rational conclusions. **The more complex the world is, the harder it is to analyze**".

In oppose to "Clear". **"Ambiguity"** refers to **a lack of clarity about how to interpret something**. A situation is ambiguous, for example, **when information is incomplete, contradicting or too inaccurate to draw clear conclusions**. More generally it refers to fuzziness and vagueness in ideas and terminology. **The more ambiguous the world is, the harder it is to interpret**".



Need for new managerial tools!!

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- What [non-financial] tools are managers using today to communicate their current business status with their management team and other relevant stakeholders?
 - Balanced Scorecard?
 - Porter's five forces?
 - SWOT?
 - Other “20-year-old” tools?
- How much do they really help them in developing their new growth strategies and future innovations?



Google Images



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Need for new managerial thinking!!

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Is this
sustainable???



Google Images

- Incremental: "Do better..."
- Radical: "Do something different"

- The 'business model' research study is an attempt to develop a new managerial language for executives and staff, to be able to discuss and communicate their operational business, strategies, and innovation possibilities in a relatively simple, but nonetheless, highly creative manner.



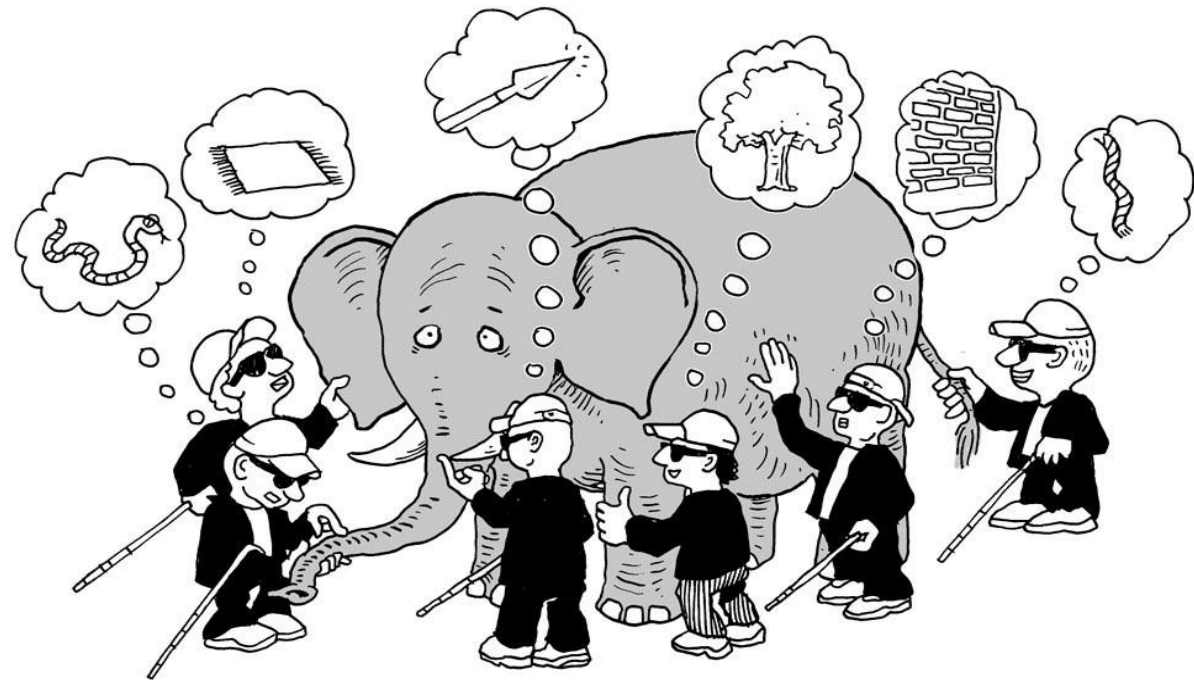
But,

- What is a “business model”?
- How to visualize a business model?
- What is the purpose of the business model? Is it a working tool, or a picture to put on the wall?
- What is the difference between “business model” and “strategy”?
- What is the difference between “business model” and “business plan”?



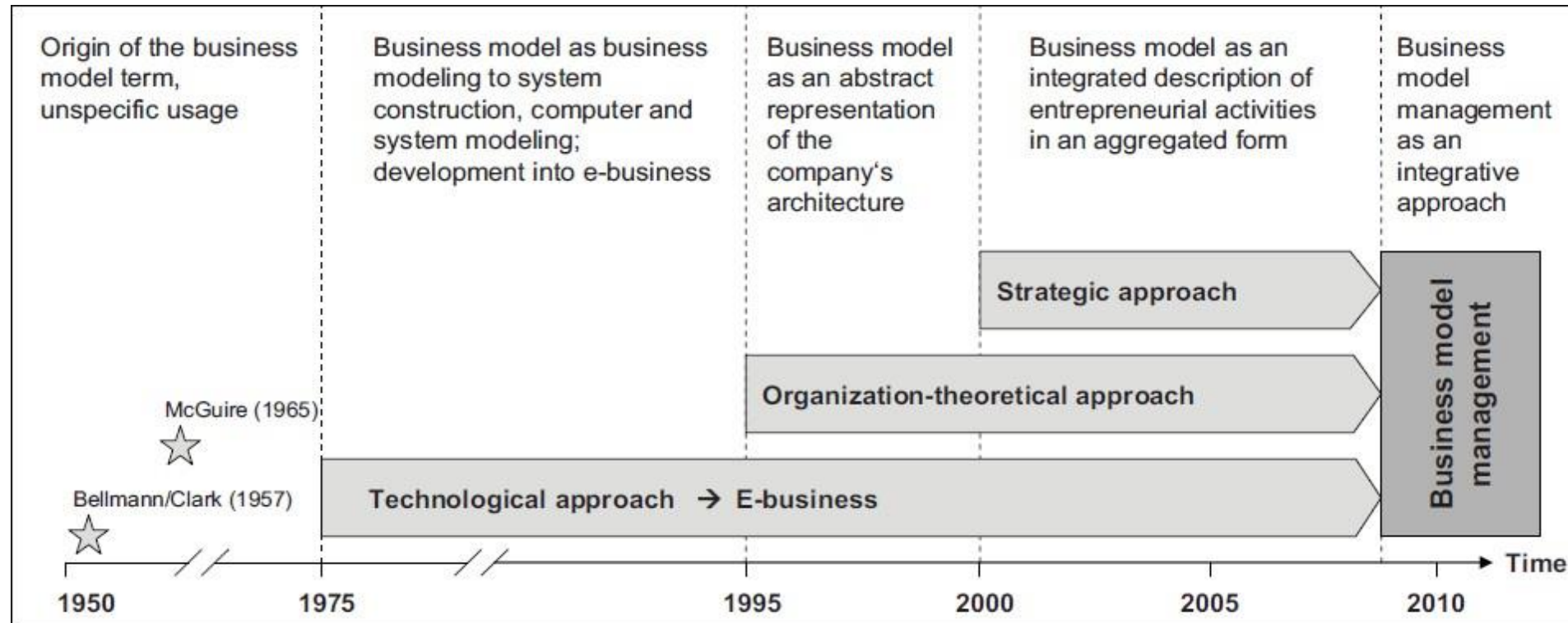
‘First things first!’

Understand the
term ‘business-model’



Development on the business model concept

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Source: Wirtz 2011, p. 20



The term 'Business- Model'

- 'A conceptual tool that contains a set of elements and their relationships and allows expressing a company's logic of earning money. It is a description of the **value** a company offers to one or several segments of **customers** and the architecture of the firm and its **network** of partners for **creating**, **marketing** and **delivering** this value and **relationship** capital, in order to generate a profitable and sustainable **revenue stream**'. (Osterwalder, Pigneur and Tucci 2004; Mazzarol and Reboud, 2020, p. 198)
- Or... simply put, a 'Business Model' is a Model that explains how a company does its Business



BM components

Source: Morris et al. 2003

Source	Specific components	Number	E-commerce/ general	Empirical support (Y/N)	Nature of data
Horowitz (1996)	Price, product, distribution, organizational characteristics, and technology	5	G	N	
Viscio and Pasternak (1996)	Global core, governance, business units, services, and linkages	5	G	N	
Timmers (1998)	Product/service/information flow architecture, business actors and roles, actor benefits, revenue sources, and marketing strategy	5	E	Y	Detailed case studies
Markides (1999)	Product innovation, customer relationship, infrastructure management, and financial aspects	4	G	N	
Donath (1999)	Customer understanding, marketing tactics, corporate governance, and intranet/extranet capabilities	5	E	N	
Gordijn et al. (2001)	Actors, market segments, value offering, value activity, stakeholder network, value interfaces, value ports, and value exchanges	8	E	N	
Linder and Cantrell (2001)	Pricing model, revenue model, channel model, commerce process model, Internet-enabled commerce relationship, organizational form, and value proposition	8	G	Y	70 interviews with CEOs
Chesbrough and Rosenbaum (2000)	Value proposition, target markets, internal value chain structure, cost structure and profit model, value network, and competitive strategy	6	G	Y	35 case studies
Gartner (2003)	Market offering, competencies, core technology investments, and bottom line	4	E	N	Consulting clients
Hamel (2001)	Core strategy, strategic resources, value network, and customer interface	4	G	N	Consulting clients
Petrovic et al. (2001)	Value model, resource model, production model, customer relations model, revenue model, capital model, and market model	7	E	N	
Dubosson-Torbay et al. (2001)	Products, customer relationship, infrastructure and network of partners, and financial aspects	4	E	Y	Detailed case studies
Afuah and Tucci (2001)	Customer value, scope, price, revenue, connected activities, implementation, capabilities, and sustainability	8	E	N	
Weill and Vitale (2001)	Strategic objectives, value proposition, revenue sources, success factors, channels, core competencies, customer segments, and IT infrastructure	8	E	Y	Survey research
Applegate (2001)	Concept, capabilities, and value	3	G	N	
Amit and Zott (2001)	Transaction content, transaction structure, and transaction governance	4	E	Y	59 case studies
Alt and Zimmerman (2001)	Mission, structure, processes, revenues, legalities, and technology	6	E	N	Literature synthesis
Rayport and Jaworski (2001)	Value cluster, market space offering, resource system, and financial model	4	E	Y	100 cases
Betz (2002)	Resources, sales, profits, and capital	4	G	N	

	<i>Building Block</i>	<i>Description</i>	<i>Chesbrough 2006</i>	<i>Morris et al.</i>
<i>Product</i>	Value Proposition	Gives an overall view of a company's bundle of products and services	Component 1: articulate the value of the proposed offering	Component 1: Factors related to offering
<i>Customer Interface</i>	Target Customer	Describes the segments of customers a company wants to offer value to	Component 2: identify the market segment.	Component 2: Market Factors
	Distribution Channel	Describes the company's various means of getting in touch with its customers	Component 3: define the value chain to deliver that offering.	-
	Relationship	Explains the kind of links a company establishes between itself and its different customer segments	-	-
<i>Infrastructure Management</i>	Value Configuration	Describes the arrangement of activities and resources	Component 3: define the value chain to deliver that offering.	Component 3: Internal Capability Factors
	Core Competence	Outlines the competences necessary to execute the company's business model	-	Component 3: Internal capability factors
	Partner Network	Portrays the network of cooperative agreements with other companies necessary to efficiently offer and commercialize value	Component 3: define the value chain to deliver that offering. Components 5: describe the position of the firm within the value network.	-
<i>Financial Aspects</i>	Cost Structure	Sums up the monetary consequences of the means employed in the business model	Component 4: establish cost structure and profit potential.	Component 5: Economic Factors
	Revenue Model	Describes the way a company makes money through a variety of revenue stream	Component 4: establish cost structure and profit potential.	Component 5: Economic factors
<i>Strategy Aspects</i>	Competitive Factor	-	Component 6: formulate a competitive strategy.	Component 4: competitive strategy Factor and Component 6: Growth/exit factors



Which is more correct: A, B, C, D or E? (Seddon et al. 2004)

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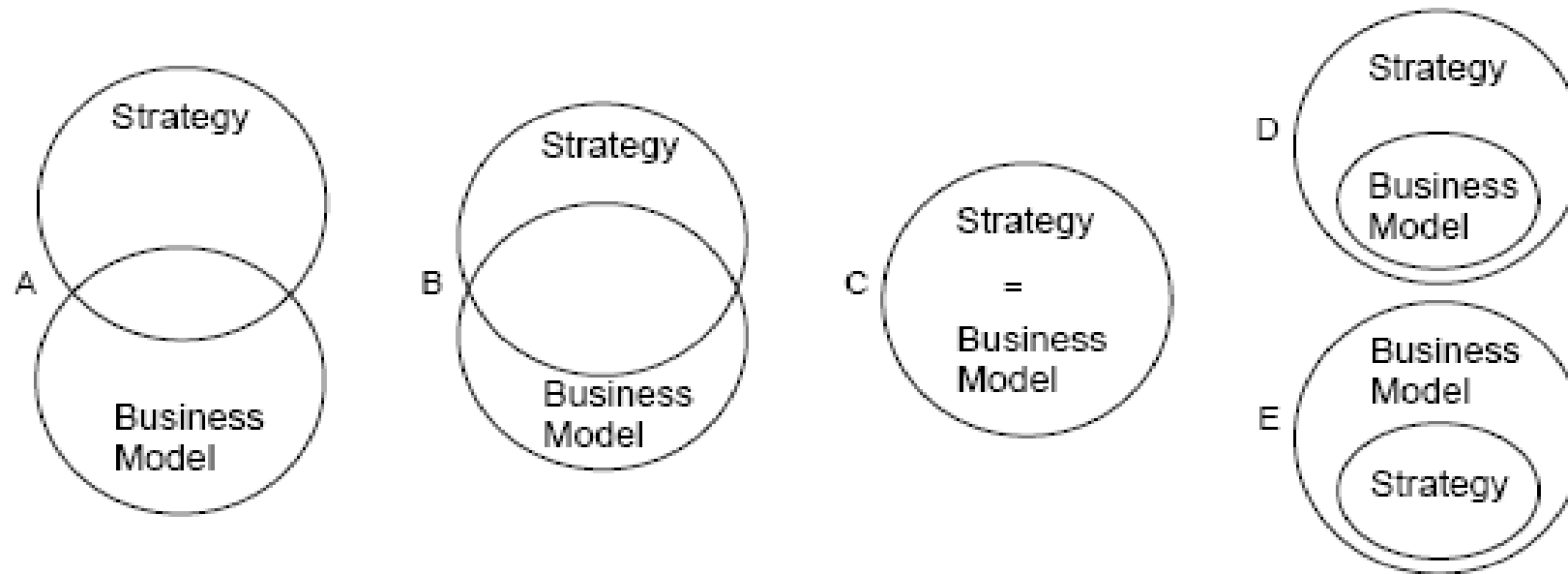
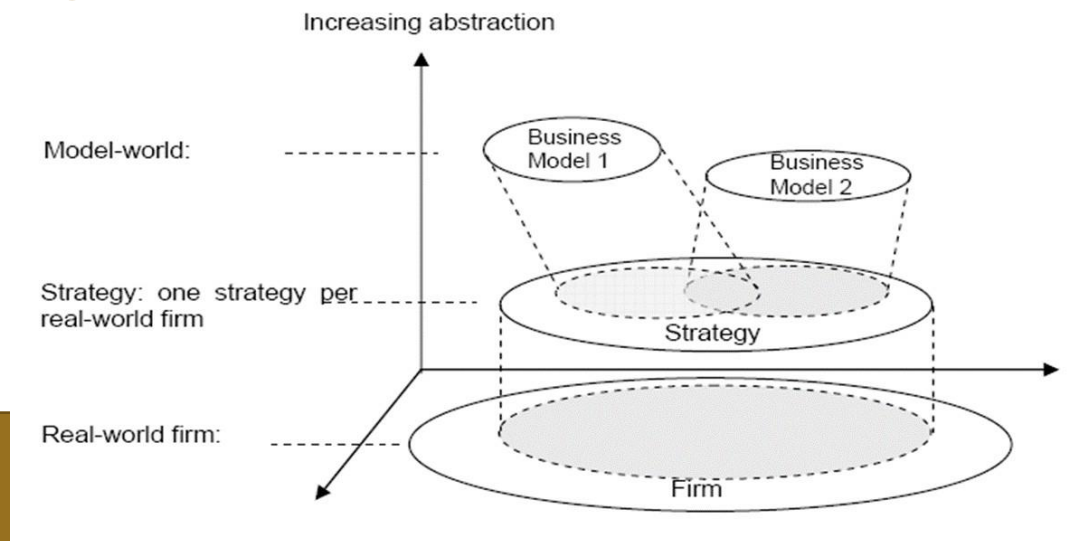


Figure 1. Possible Overlap Between the Concepts "Strategy" and "Business Model"



Business Model vs. Strategy

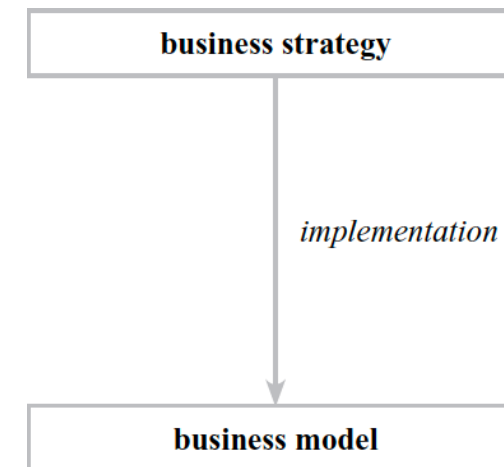
- “Business models describe, as a system, how the pieces of a business fit together. But they don’t factor in one critical dimension of performance: competition... Dealing with that reality is strategy’s job.... A competitive strategy explains how you will do better than your rivals.”* (Magretta, 2002, p.94)
- “... a business model may be defined as an abstract representation of some aspect of a firm’s strategy. However, unlike strategy, business models do not consider a firm’s competitive positioning”.* (Seddon et al. 2004)



Core business and business strategy

(Taran et al. 2022)

- **In its strategy**, the company *defines* its differentiated positioning in the competitive context it operates or intends to operate in, by “deliberately *choosing* a different set of activities to deliver a unique mix of value”.
- **In its (core) business model**, the company *implements* its strategy and defines *how*, i.e., operationalized through the value drivers and the relationships between them, *the company creates and capture economic value in its competitive position*.



Business model definitions and components

- In spite of the intensive research carried out in this field in the past two decades, **the concept still remains very fuzzy in its definition, purpose, and operationalization**. These definitions do not necessarily contradict one another, but rather present different perspectives and foci.
- Similarly, there are many **different opinions about the components constituting a generic business model**, which are also referred to in the literature as “building blocks” or “value drivers”. The number of components proposed in the literature ranges from three to nine.
- A deeper look into these **definitions** suggests that some authors take **a narrow, more technological or financial focus**, while others adopt a more **general perspective**. Some authors incorporate **corporate strategy** in their business model definition, while others leave it out.

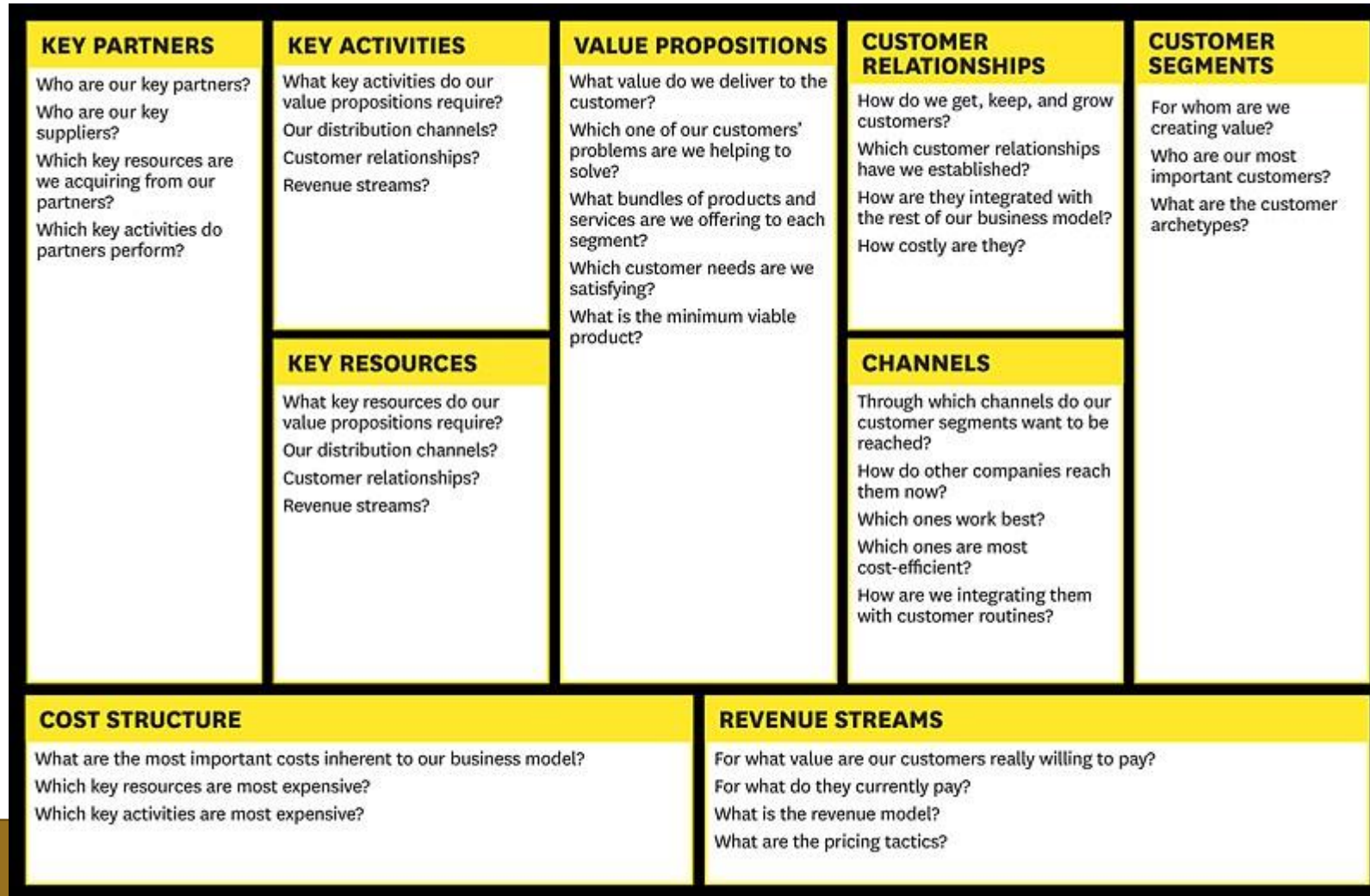


- Clearly, such a **lack of common language and content is problematic**, because it creates dispersion and prevents cumulative research and convergence of perspectives in the business model research area.



Business model mapping:

Components relation within a generic business model

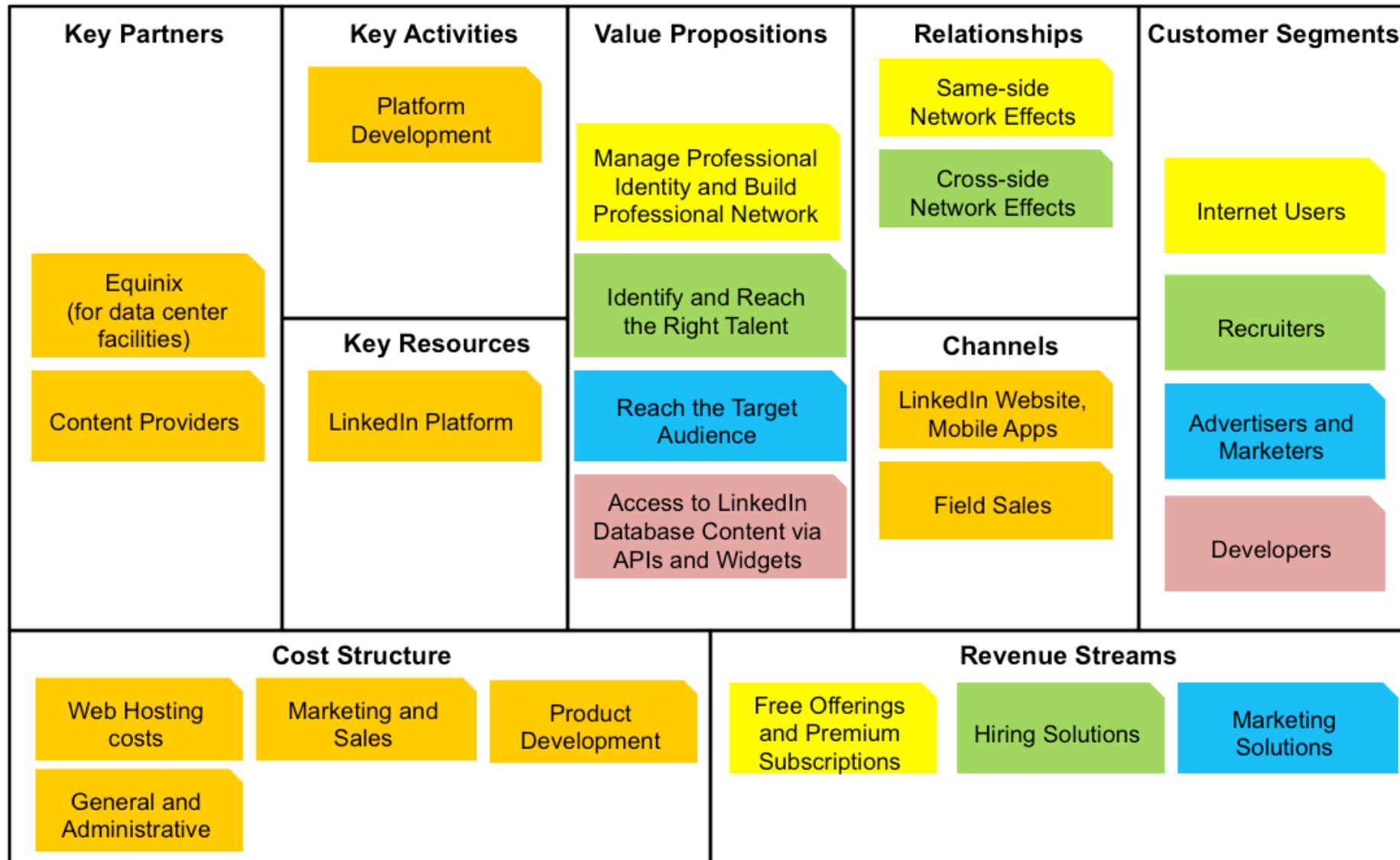


Osterwalder and Pigneur, 2010

<https://www.strategyzer.com/books/business-model-generation>

LinkedIn – World's Largest Professional Network

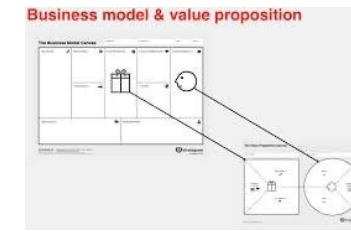
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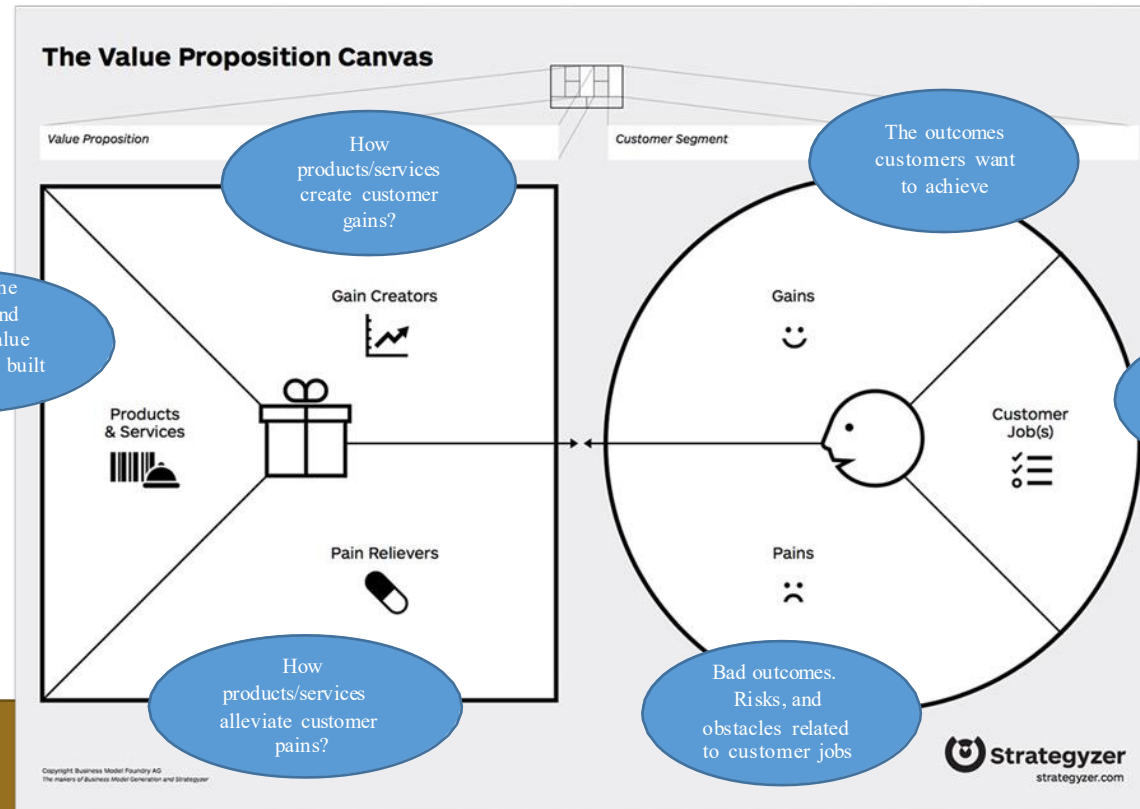
www.businessmodelgeneration.com

Value proposition canvas

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- Composed of two blocks from the Business Model Canvas i.e., Value Proposition + Target Customer. Aim to assist practitioners in designing a **better product-market fit or problem-solution fit**. It breaks down the value proposition into products and services, pain relievers, and gain creators.



- “The selection of the first customer can be a critical issue, as this decision can determine the speed with which a new innovation is diffused within a target market.”
(Mazzarol and Reboud, 2020, p. 204)

To learn more see:

<https://strategyzer.com/value-proposition-design>

Business Model vs. Business Plan

- “A business plan is a written document that describes the current state and the presupposed future of an organisation.” (Honig and Karlsson, 2004; see also: Mazzarol and Reboud, 2020, p. 191)
- “The business model of an entrepreneurial venture is more generic than the financial or strategic design that is part of its structural configuration”.
 - “It (i.e., the business model) seeks to generate a mechanism that can deliver value to a target customer or market segment in a sustainable manner, and with an appropriate allocation of resources to achieve this outcome”. (Mazzarol and Reboud, 2020, p. 198)
- Business plan elaborates on the details of the company’s business model i.e., beyond the scope of the original business idea and the general description of how it functions (e.g. The U.S. Small Business Administration).
 - Organization & Management; Market analysis; Competitive analysis; Operations plan; Marketing & Sales; Funding request; Financial projections, etc.
- “In essence, the plan is important but the business model or underlying strategy that lies behind the venture is more important.” (Mazzarol and Reboud, 2020, p. 198)



Do Business Plans Really Matter?

- “The evidence that possession of a formal written business plan makes it more likely a business will succeed is **inconclusive**. Most small firms **do not possess written business plans** (Unni 1984), and many entrepreneurs **lack business planning skills** (Posner 1985).” (Mazzarol and Reboud, 2020, p. 192)
- “A review of past research studies undertaken into the benefits of strategic business planning within small firms found a **positive relationship between formal strategic planning and performance**, but the **formality and amount of planning did not appear to make a significant difference**.”
 - “..what was **of more importance** was **the owner-manager** to **reconfigure** their firms’ **resources and business structure to adapt to the customer or market needs** **using their judgment** rather than relying on formal planning processes (Mazzarol and Reboud, 2009).” (Mazzarol and Reboud, 2020, p. 192) – i.e., **Dynamic Capabilities**.
- “..the **larger an organisation** becomes, the **more likely it will engage in formal business planning**. Larger firms tend to employ more professionally educated managers who may encourage the preparation of business plans.” (Mazzarol and Reboud, 2020, p. 192)



Types of Business Plans (Mazzarol and Reboud, 2020, p. 195)

1. **Application for finance:**

- comes in two derivatives:
 - Targeted at the equity market and seeks to **attract the potential investor**.
 - at the **banker** and **seeks to raise debt financing**.

2. **Supply chain-driven plan:** often triggered by a request from a larger customer or supplier who wishes to see a documented business plan before signing a contract (e.g., quality, supply continuity, costs, scalability).

3. **Internal use:** seeks to draw together the key elements of the opportunity – the resources needed to exploit the opportunity and the team that will make this happen.



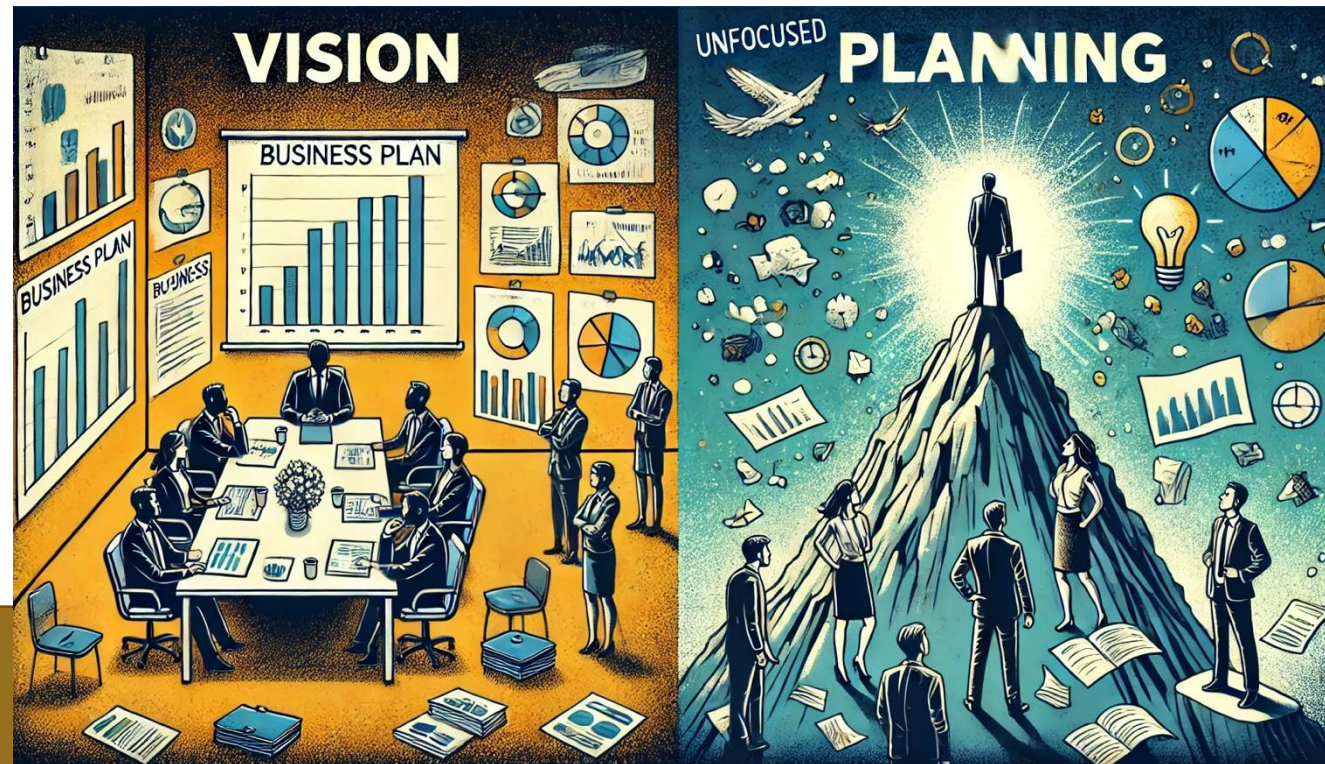
See Table 7.1 (p. 197) – example of a general “business plan” layout

- “According to Sahlman (1997), a good business plan should have at least four key elements: (i) the opportunity; (ii) the environmental context; (iii) the risk-reward, and (iv) the team.”

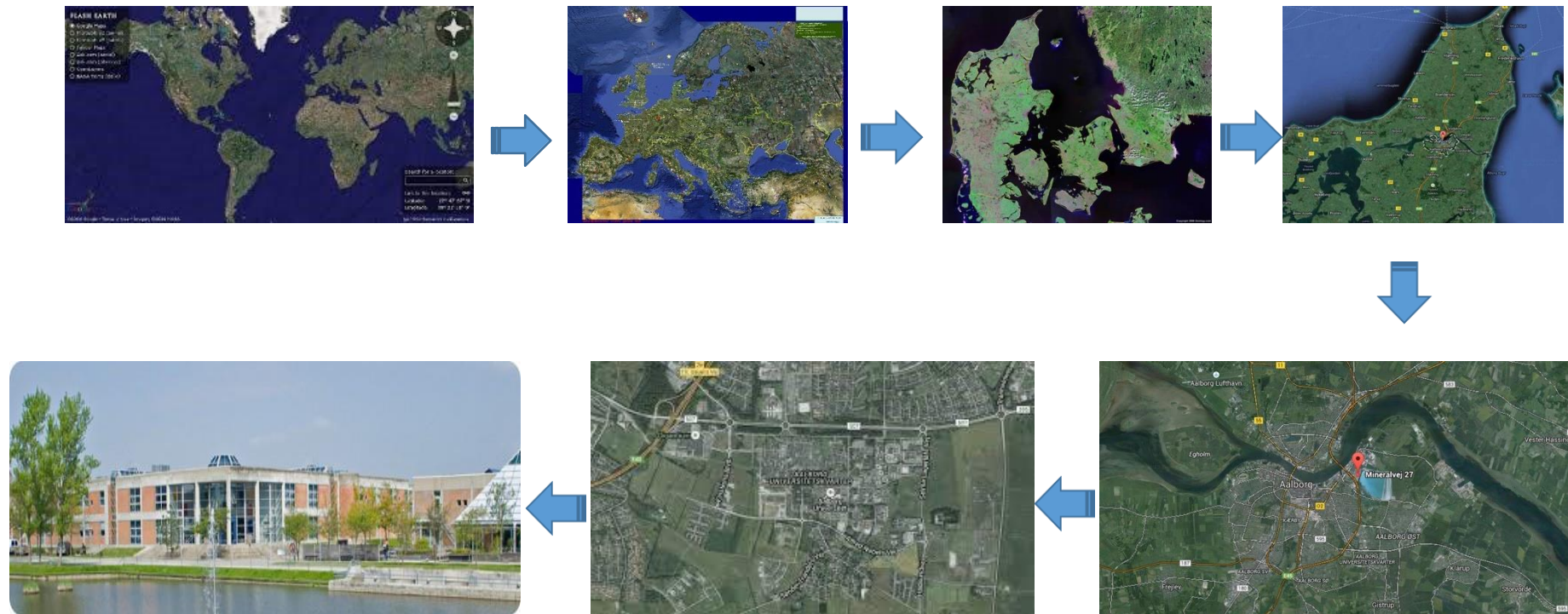


A vision-planning alignment and motivation

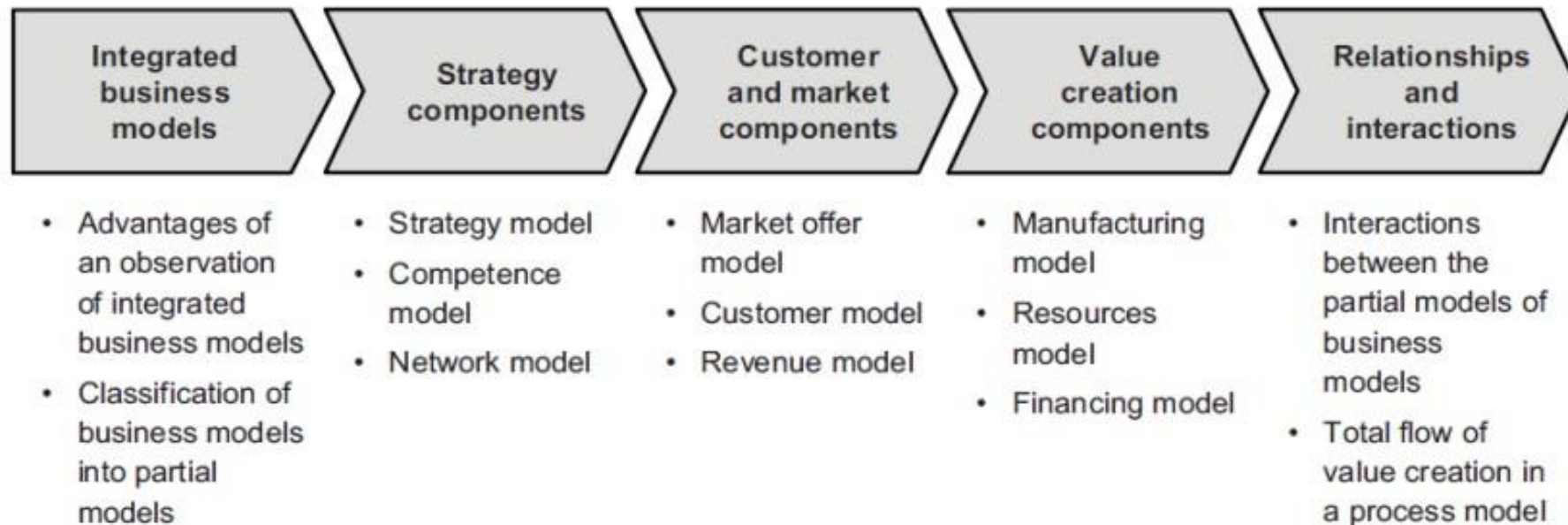
“Business plans that **lack vision** can be short-sighted and often fail to excite. Equally, a strong entrepreneurial vision that lacks the discipline of **a formal business planning process**, risks becoming unfocused and can fall victim to problems of implementation”. (Mazzarol and Reboud, 2020, p. 212)



Business models - mapping through various abstraction levels



Sub-models of business Models



Integrated business model approach

- The goal of the business model concept is the development, implementation and securing of a sustainable, successful and profitable business strategy.
- The integrated business model concept presents a conceptual, aggregate framework of the most relevant components in order to show how value creation takes place within a company and how the company's profitability can thereby be guaranteed.
- The partial models of a business model constitute an interdependent network of structural elements. The single models cannot be observed separately or simply within the corresponding components but should be applied to the whole spectrum of partial models in terms of their causes and effects.

Partial models of the integrated business model

Strategy component	 Strategy model • Business model mission • Strategic positions and development paths • BM value proposition	 Resources model • Core competencies & competencies • Core assets & assets	 Network model • BM networks • BM partner
	 Customer model • Customer relationships/ target groups • Channel configuration • Customer touchpoint	 Market offer model • Competitors • Market structure • Value offering/products & services	 Revenue model • Revenue streams • Revenue differentiation
	 Manufacturing model • Production model • Value generation	 Procurement model • Acquisition of resources • Information	 Financial model • Financing model • Capital model • Cost structure model

Enough theory!!!

Let's talk 'business'!



IBM - Mainframe computers

- 1944: IBM introduces the world's first large-scale calculating computer: The Automatic Sequence Control Calculator (ASCC).



IBM - Minicomputer

- The 1960's - a new set of companies came and created the minicomputers
- IBM moved to Westchester - Minnesota, and set up a different business model.



Private computer

- 1970's - a new set of companies came and created the PC.
- IBM moved to Florida, and set up a different business model.



IBM

- **1960's:** All mainframe computers companies got disrupted by this new (minicomputers) technology - except IBM.
- **1970's:** IBM was also the only minicomputer producing company that made the transition into personal computers.

By creating a new business model

- The new business required different resources, technical talent, equipment and product design – ...different processes.

The innovator's solution...



New business unit
(Audi, AMG, Aston-
Martin)



New business unit
(collaboration with
Samsung)



Failure cases:

- Outsourced the manufacturing of one of their products.
- Outsourced the marketing and selling functions of a new product.

Bang & Olufsen



Joint venture :
'ICEpower'
independent company

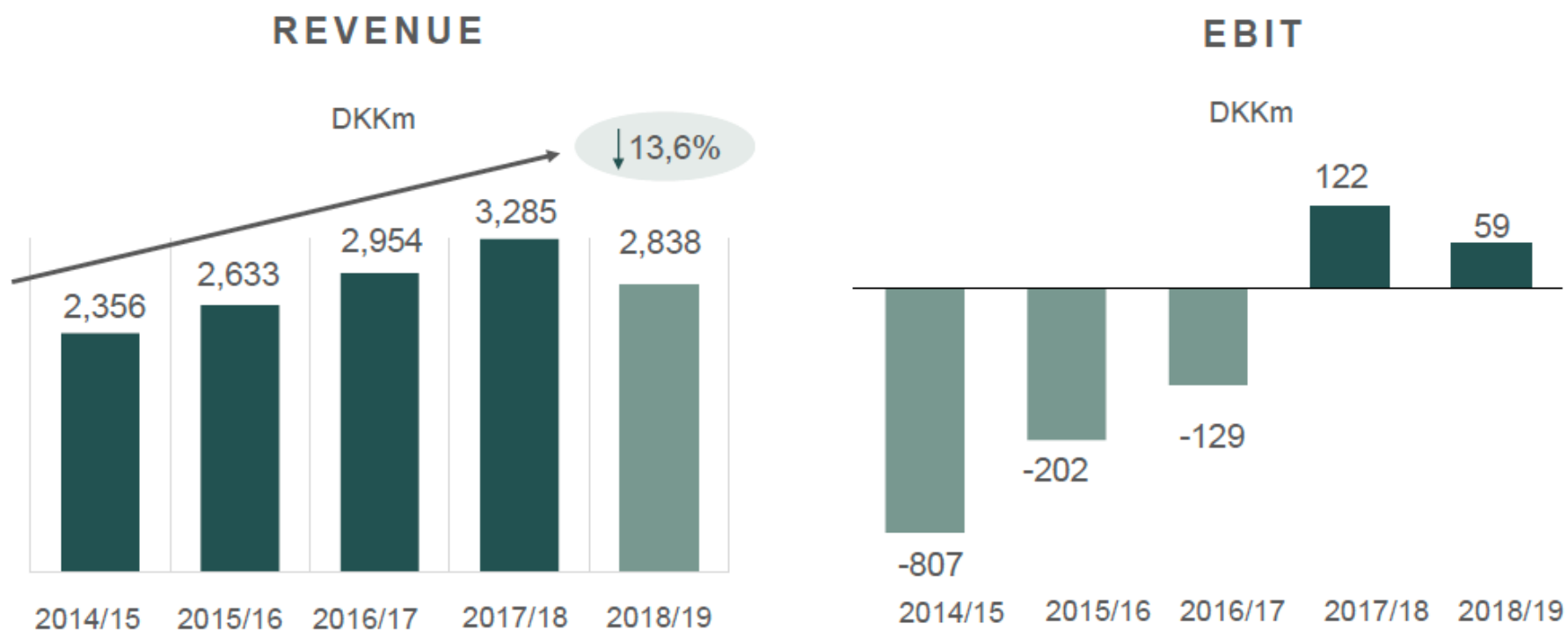


Joint venture: 'Medicom'
independent company



Divest: Telephone
switchboard
infrastructure
solution (Ericson)

B&O Financial History



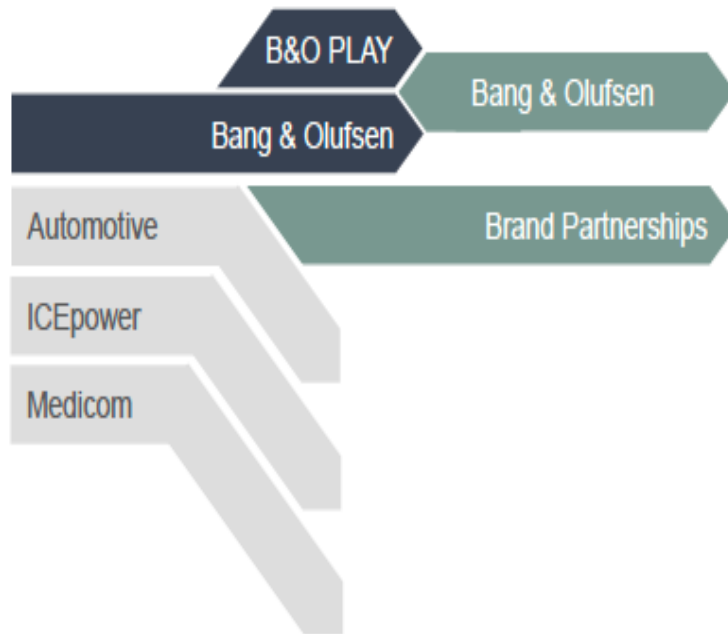
Reconstruct the BM and new partnerships:

Vision: Become the most desired **audio brand** in the world!

One Brand: **Luxury-Lifestyle**

Three product categories:

- On-The-Go
- Flexible Living
- Staged



• New collaborations with:

- Hewlett-Packard (hp)
- Harman
- LG Electronics
- Saint Laurent
- David Lynch
- Supreme
- Bentley Continental GT
- Lamborghini

Bang & Olufsen

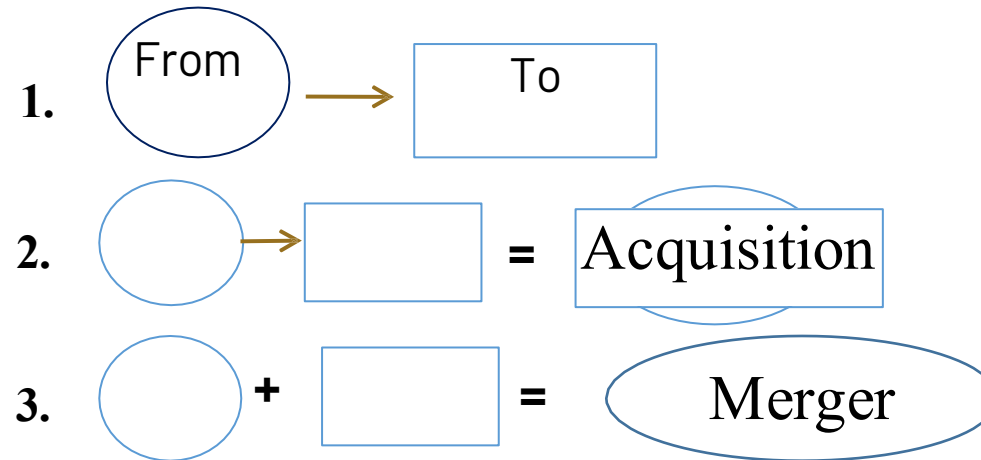
- Internal competences developed further to be used elsewhere (other industries)
- Operating in multiple markets.
- Innovate with a partner – a winning partner!!!
 - Easier to penetrate to new market/s.
 - Share the risks.
- In most cases the new business models outputs were very successful, and not only opened whole new markets for the company, but also increased significantly their sales volume and profits.



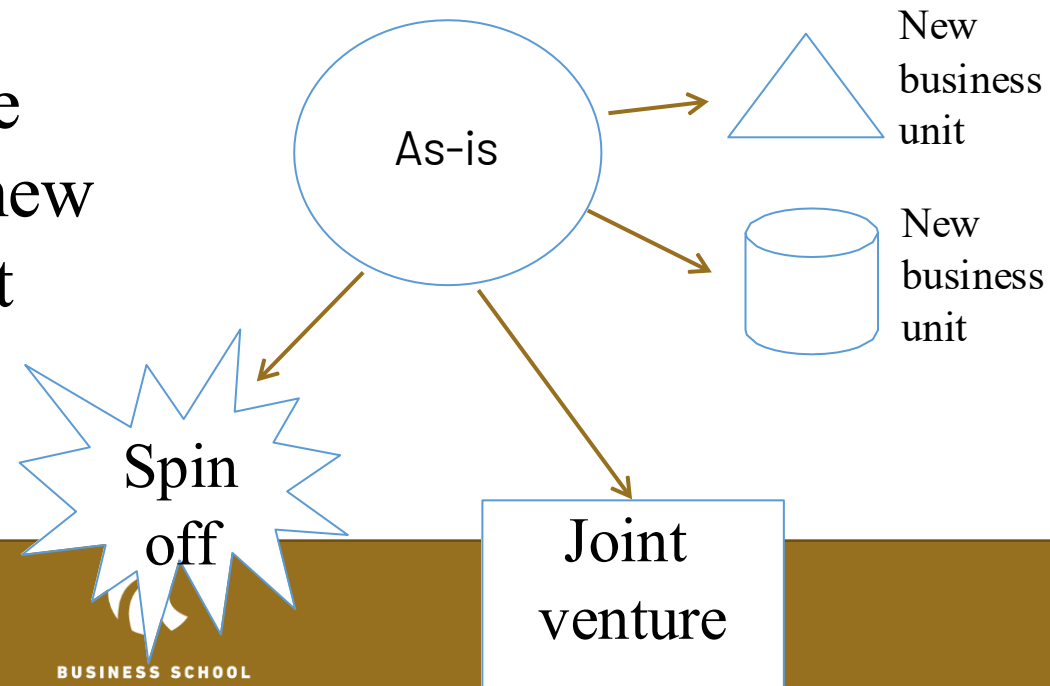
So...Innovating the BM can result in:

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Innovating the
core business



Keeping the 'as-is' core
business, and create a new
core business aside to it
(spreading the eggs).



Things to consider ...

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- **Identify an opportunity first** (e.g. new potential market segments, emerging technologies, customer potential needs, 'green' thinking...).
- **Clarify the new value** (what 'new' do you offer?).
- **Define the core processes for providing it** (value chain, partner network, customer relationship...).
- **Give details how you plan to make money** (e.g. direct sales; free first - pay latter; Razor and razor blade; public auction on the web; free for first tier customer earnings from second tier (i.e. facebook, google); third party sell products and you earn percentage from the profits; pyramid like; paying per use time (car renting)...)



When is a good time to innovate the business model?

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- In conjunction with strategic planning.
- When you want to do something ‘big’, or long term oriented.
- When you sense that things go wrong (e.g. budget, reputation, customer demand...).
- When you sense that things are going right!



Let's play - workshop

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- Choose a company of your own preference. One that you are quite familiar with.
- Visualize its Business Model (BM) in a canvas (individually, or in groups).
- Use SWOT analysis to evaluate the current BM.
- Provide suggestions for innovating the company's BM.

KEY PARTNERS Who are our key partners? Who are our key suppliers? Which key resources are we acquiring from our partners? Which key activities do partners perform?	KEY ACTIVITIES What key activities do our value propositions require? Our distribution channels? Customer relationships? Revenue streams?	VALUE PROPOSITIONS What value do we deliver to the customer? Which one of our customers' problems are we helping to solve? What bundles of products and services are we offering to each segment? Which customer needs are we satisfying? What is the minimum viable product?	CUSTOMER RELATIONSHIPS How do we get, keep, and grow customers? Which customer relationships have we established? How are they integrated with the rest of our business model? How costly are they?	CUSTOMER SEGMENTS For whom are we creating value? Who are our most important customers? What are the customer archetypes?
	KEY RESOURCES What key resources do our value propositions require? Our distribution channels? Customer relationships? Revenue streams?		CHANNELS Through which channels do our customer segments want to be reached? How do other companies reach them now? Which ones work best? Which ones are most cost-efficient? How are we integrating them with customer routines?	
COST STRUCTURE What are the most important costs inherent to our business model? Which key resources are most expensive? Which key activities are most expensive?			REVENUE STREAMS For what value are our customers really willing to pay? For what do they currently pay? What is the revenue model? What are the pricing tactics?	

Thank you!

